

Weekly Swing

Strategy Document

Model **weekly-swing-0094-rank** · Status **FORWARD-WATCH (paper)** · Inception 2026-07-04

Plain-English, end-to-end description of what the strategy buys, when, how much, when it sells, and how honest we are about the numbers. Every rule and value below is taken directly from the frozen config and engine code, not from memory.

1 The one-paragraph version

Once a week, after Friday's close, the strategy scans a large universe of Indian stocks for a specific setup: a stock in a **rising long-term uptrend** that has just **pulled back to its trend line and bounced off it with a strong up-week**, and that is **outperforming the market**. When it finds those, it buys them early the following week, risks a fixed small slice of capital on each, sells half at a set profit target, lets the rest run behind a trailing stop, and caps every trade at about three months. It makes all decisions on **weekly** bars and acts only **once a week**. It is a trend-following **swing** system — not day-trading or intraday.

2 What it can buy (the universe)

- **Point-in-time Nifty-500 members** — the large- and mid-cap segment, using index membership as it was on each historical date (no hindsight about who's in the index today).
- Liquidity is handled through **cost, not a hard cutoff**: bigger, more liquid names pay less slippage; smaller names pay more. Each stock's 20-day average traded value sets its tier.

3 The core idea

Three things must be true at the same time — think **trend, pullback, leadership**:

- **Trend** — the stock is in a durable, rising uptrend.
- **Pullback + bounce** — it recently dipped to its trend line and closed the week back above it, with a strong (green) week — buyers showed up right where they should.
- **Leadership** — it is beating the market (Nifty-50), not just drifting up with it.

The strategy is deliberately picky. In most weeks only a handful of stocks pass all three.

4 The entry rules (exact)

All measured on **weekly bars** (one bar = one Mon–Fri), at the **Friday close** of the setup week.

#	Rule	Exact condition
1	Rising trend	The 44-week SMA of the weekly close is sloping up $\geq 3\%$ over the last 13 weeks .
2	Above the trend	The weekly close is above the 44-week SMA.

3	Pullback / touch	The week's low dipped within 7% of the 44-week SMA, but still closed above it.
4	Quality green week	Closed higher than it opened , and closed in the upper half of the week's range.
5	Relative strength	RS = stock ÷ Nifty-50 is above its own 40-week SMA (leading the market, not lagging).

How the buy happens. The signal is valid the **whole next week (Mon-Fri)**. Each day, if the stock's **opening price is inside the setup week's range** [low, high], you **buy at that open** — you don't chase a big gap-up. If the open never falls in-range all week, the signal **expires with no trade** (capital was never committed).

5 How much it buys (position sizing)

- **Fixed risk of 2% of current equity per trade** (equity = cash + value in open positions).
- The **stop-loss is the setup week's low**; risk per share = entry – stop.
- **Shares = (2% × equity) ÷ (entry – stop)**, rounded down.

Wide stop → fewer shares, tight stop → more, but the **rupees at risk are always 2%**. E-margin changes how many positions you can afford, never what you risk — the dashboard sizer enforces exactly this.

6 When it sells (the four exits)

Every decision is **made at the weekly (Friday) close and executed at Monday's open**.

Exit	Rule
1 • Stop-loss	Weekly close at/below the setup-week low → exit all. (Live: can be a resting broker order for intra-week protection.)
2 • First target (+2R)	At entry + 2×(entry – stop), sell half and lock the gain.
3 • Trailing stop	The runner trails a ratchet at 20-day SMA × (1 – 4%) ; a weekly close below it sells the rest.
4 • Time cap	Any position open after 13 weeks (~3 months) is closed.

No rotation. One position per name; it never adds to a winner or swaps a held name for a fresh one — a name you already own is never re-bought.

7 Which signals get funded first (CRS ranking)

In a good week the scan can fire more signals than cash can fund. It funds the **strongest leaders first**, never randomly:

- Each signal carries a **CRS distance** = RS ÷ (40-week SMA of RS) – 1 — how far the relative-strength line sits above its own trend.
- Candidates are funded in **descending CRS distance** until cash runs out.
- The **top 5 by CRS are Grade A**, the rest Grade B. This ordering took the book from Sharpe 0.90 → **1.13** and survived an adversarial ordering probe (strongest-first best, weakest-first worst).

8 The weekly rhythm

When	What happens
Saturday 6 PM IST	Refresh daily prices → build weekly bars → run the scan → publish the buy list, updated stops/trails, and any sell instructions.
Mon-Fri	Buy new signals at the open when in-range; execute Friday-decided sells at Monday's open. The dashboard shows live daily prices against the fixed levels all week.
Next Saturday	Repeat. Between runs: log and leave it alone — no intra-week decision changes.

Weekly cadence is a **decision** cadence, not a data limit: the bot ingests every daily price on each run; it just acts once a week, exactly as it was tested.

9 Costs and taxes modelled

- Per leg: **brokerage 0.03% + STT 0.10%**.
- **Slippage by liquidity tier**: large-cap 0.05%, mid-cap 0.22%, small-cap 0.40%, plus a 0.10% market-impact add-on when an order exceeds 0.5% of the stock's daily traded value.

Headline returns below are **after** all of these. Because holds are under a year, gains are **short-term (STCG)** and taxed accordingly — a real drag on take-home, on top of the transaction costs.

10 The numbers — and the honesty around them

Backtest, corrected universe, **2017-2026, in-sample**, after transaction costs:

Metric	Value
Net CAGR	+24.7%
Net Sharpe	1.13
Max drawdown	−42.4%
Win rate	59.2%
Sharpe 95% CI low	+0.47
Deflated Sharpe (DSR)	0.894

Read the caveats — they are the point

In-sample. Measured on the same history used to build the strategy — best case, not a promise.

Not certified. Our bar for a real edge is DSR > 0.95. This scores **0.894** — the closest the whole program has come, but still under the bar. Hence **paper / forward-watch**, not live capital.

Deep drawdowns are normal. A −42% peak-to-trough happened in the backtest and can happen again. Returns are lumpy — a few strong-trend years carry the total.

No live track record yet. The forward paper record began 2026-07-04. Only out-of-sample forward performance — real weeks, logged honestly — can actually certify this.

11 A worked example

On a Friday, stock **XYZ** passes all five rules. Setup-week low **₹100**, high **₹110**. You have **₹5,00,000** equity.

- **Stop** = ₹100. Monday XYZ opens at **₹104** (inside 100–110) → **buy at ₹104**.
- Risk/share = $104 - 100 = ₹4$. Shares = $(2\% \times 5,00,000) \div 4 = 2,500$ (₹2.6L deployed; ₹10,000 = 2% at risk).
- **Target (+2R)** = $104 + 2 \times 4 = ₹112$ → sell **1,250** shares (half).
- The other **1,250** ride the trail at 20-day SMA $\times 0.96$, ratcheting up, until a weekly close breaks it, the 13-week cap closes it, or the stop is hit.

12 Glossary

Term	Meaning
SMA (simple moving average)	the plain average of the last N closes; the trend line.
44-week SMA	the long-term trend on weekly bars (the entry filter).
20-day SMA	a shorter daily average used only for the runner's trailing stop.
R	one unit of risk = entry – stop. “+2R” = a gain of twice what you risked.
CRS (comparative relative strength)	stock price $\div$ Nifty-50; rising = beating the market.
DSR (deflated Sharpe ratio)	a Sharpe penalised for how many strategies we tried; go-live bar 0.95.
Forward-watch / paper	traded on paper and logged, not with real money, until it earns promotion.

This document describes a research strategy on paper. It is not investment advice, and past or backtested performance does not indicate future results.